

Investment versus Speculation

John Moody

Both the word "investment" and the word "speculation" are much misused terms. There are perhaps no two words in the English language which are less clearly defined or understood. This fact is not only true in a general sense, but it is particularly true in what we might term a "Wall Street" sense. There are many out-and-out speculators who call themselves investors and who honestly think they are investors. On the other hand, we constantly meet people who are really trying to follow sound investment methods and yet consider themselves speculators.

The main reason why there is so much confusion regarding the meaning of these terms, especially in connection with the security markets, is that investment and speculation so lap over each other and are so closely related that it is extremely difficult to draw any distinct line of demarcation between them. The vast majority of security investments carry some element of a speculative character; whereas a respectable percentage of securities which are inherently in a speculative class always embrace elements of stability and genuineness which give them an investment tinge. . . .

If we look over the entire security field of America we will find that investments and speculations could be subdivided, in the matter of degree, into hundreds of different